Insurance Act, 2022

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Insurance Act, 2079

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Amending Act

1. Some Nepal Acts Amendment Act, 2082 2082.04.14

Act Number 27 of the Year 2079

An Act Made to Amend and Consolidate Laws Relating to Insurance

Preamble: Whereas, it is expedient to make the insurance system and insurance business systematic, regulated, competitive and reliable and develop the same, to provide quality and reliable insurance services to the general public through healthy competition in insurance business, and to amend and consolidate the prevailing laws relating to insurance and make them up-to-date for effective regulation of insurance business and protection of the rights and interests of the insured;

Now, therefore, the Federal Parliament has enacted this Act. Chapter-1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act shall be called the "Insurance Act, 2079".

(2) This Act shall extend throughout the State of Nepal and also apply to any branch office established by an insurer anywhere outside Nepal.

(3) This Act shall commence on the thirty-first day from the date of its certification. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Chairperson" means the Chairperson of the Board of Directors pursuant to Section 6.

(b) "Other insurance service provider" means a person or entity other than an insurer or insurance intermediary licensed by the Authority to perform insurance-related work.

(c) "Founding shareholder" means a person, company or entity holding one percent or more of the paid-up capital of an insurer, and the term also includes a single family if members of such single family individually hold one percent or more of the shares.

(d) "License" means a license granted to carry out insurance business in accordance with this Act, and the term also includes a license granted to an insurance intermediary and other insurance service provider to perform work as prescribed.

(e) "Single family" means the spouse, son, daughter-in-law, daughter, adopted son, adopted daughter, father, mother, stepmother of the concerned person and other persons who are dependent on or provide support to such person.

(f) "Chief Executive" means the chief executive officer appointed pursuant to Section 57, having administrative, managerial or busin

ess operational responsibility of an insurer.

(g) "Net worth" means the amount remaining after deducting all liabilities other than paid-up capital, reserves, funds or accumulated profits of any nomenclature belonging to shareholders, or any goodwill of the insurer, and any accumulated losses, from the total existing assets of the insurer.

(h) "Life insurance" means a contract made by an insurer with the insured whereby, upon payment of a specific sum in lump sum or installments based on the age of a person regarding the life of such person, such person or a person authorized by such person, or in the event of such person's death, a person authorized by such person or a person named by such person or such person's heir, shall receive a specific sum as mentioned in the policy.

(i) "Third party facilitator" means a licensed insurance intermediary acting as a medium for conducting insurance between the insurer and the insured.

(j) "Prescribed" or "as prescribed" means prescribed or as prescribed under this Act or the rules or regulations made under this Act.

(k) "Close relative" means a single family or relatives such as mother-in-law, father-in-law, elder brother, younger brothe r, elder sister, younger sister, brother's wife, daughter-in-law, wife's brother, wife's sister, brother-in-law (sister's husband), uncle (paternal), aunt (paternal), uncle (maternal), aunt (maternal), grandson, granddaughter, granddaughter-in-law, nephew (sister's son), niece (sister's daughter), aunt (paternal), uncle (paternal aunt's husband), nephew (brother's son), niece (brother's daughter), brother's wife's brother, brother's wife's sister, as well as the husband, wife, son, daughter-in-law or daughter and son-in-law of such relatives.

(l) "Non-life insurance" means insurance other than life insurance and reinsurance, and the term also includes a contract made by an insurer with the insured to provide a specific sum of money as compensation or damages in consideration of accepting risk as mentioned in the policy by collecting premium in respect of the risk of any property or liability.

(m) "Reinsurance" means a contract made by an insurer with a reinsurer or another insurer whereby such reinsurer or other insurer bears the risk of a portion exceeding the risk that the first insurer retains.

(n) "Proposed insurance company" means a public limited company proposed to be est

ablished in accordance with prevailing law for the purpose of carrying out insurance business.

(o) "Authority" means the Nepal Insurance Authority pursuant to Section 3.

(p) "Insurer" means an insurance company or reinsurance company licensed to carry out insurance business in accordance with this Act.

(q) "Insurance agent" means a licensed insurance intermediary person or entity, other than an employee of an insurer, who works on a commission basis on behalf of an insurer.

(r) "Insurance contract" means a written agreement made between an insurer and the insured, upon payment of a specific insurance premium, on the condition of bearing risk according to the agreement.

(s) "Insurance broker" means a licensed insurance intermediary person or entity working as an insurance broker in relation to insurance business.

(t) "Insurance pool" means a collective insurance fund established by insurers to collectively bear risk, pool premiums, make reinsurance arrangements and arrange claim payments concerning a particular type of insurance or risk.

(u) "Insurance intermediary" means an insurance agent, insurance surveyor, insurance broker, third party facilitator or other insurance inte rmediary as prescribed, licensed by the Authority.

(v) "Insurance business" means life insurance business, non-life insurance business or reinsurance business.

(w) "Actuary" means a person who has obtained the title of actuary from a recognized institution for the valuation of an insurer's assets and liabilities.

(x) "Insurance policy" means the instrument of insurance issued by an insurer to the insured upon accepting any risk.

(y) "Insurance surveyor" means a licensed insurance intermediary person or entity that assesses damaged property and liabilities.

(z) "Premium" means the amount received by an insurer from the insured in lump sum or installments as consideration for insurance.

(aa) "Insured" means a person taking insurance, and the term also includes a person entitled to benefit from the insurance policy.

(bb) "Bonus" means the share of profit or amount provided to the insured under participating life insurance based on the sum insured.

(cc) "Ministry" means the Ministry of Finance of the Government of Nepal.

(dd) "Micro insurance" means micro insurance conducted pursuant to Chapter-8 targeting low-income, economically, socially and geographically backward classes.

(ee) "Auditor" means an auditor licensed in accordance with prevailing law to conduct audits.

(ff) "Financial interest" means the situation of involvement in an insurer of the following persons, entities, firms, companies or organizations:-

(1) Director or founding shareholder or chief executive or member of his/her single family,

(2) A sole or partnership firm, company or organization authorized to nominate a director,

(3) Director, chief executive or member of the single family of a firm, company or organization pursuant to sub-clause (2), or

(4) If a person, firm, company or organization pursuant to sub-clause (1) or (2) has taken ten percent or more of the paid-up capital shares in another sole or partnership firm, company or organization, such firm, company or organization in which such shares have been taken.

(gg) "Foreign insurance company" means an insurance company licensed under this Act to carry out insurance business within Nepal having obtained a license to carry out insurance business in a foreign country.

(hh) "Managerial level" means a manager involved in the decision-making process concerning the operation and management of any organized entity, and the te rm also includes a manager or a person holding the designation of manager or officer of the second class or above employed in the position of head of any organized entity or any branch or unit thereof with the authority to exercise ultimate responsibility or authority.

(ii) "Board of Directors" means the Board of Directors of an insurer formed pursuant to Section 47.

(jj) "Member" means a member of the Board of Directors of the Authority, and the term also includes the Chairperson.

(kk) "Board" means the Board of Directors of the Authority formed pursuant to Section 6.

(ll) "Collective insurance fund" means a collective insurance fund (insurance pool) established by insurers to collectively bear risk, pool premiums, make reinsurance arrangements and arrange claim payments concerning a particular type of insurance or risk.

(mm) "Permanent residence permit" means a Diversity Immigrant Visa (D.V.), Permanent Resident Visa (P.R.) or Green Card provided to a Nepali citizen to reside permanently in a foreign country with or without any condition, and the term also includes a permanent residence permit of any nomenclature given to a Nepali citizen for permanent residence abroad. Chapter-2
Establishment and Functions, Duties and Powers of the Authority

3. Establishment of Authority: (1) The Nepal Insurance Authority is established as the regulatory body for insurance business.

(2) The central office of the Authority shall be located in Kathmandu Valley, and the Authority may open its offices anywhere within or outside Nepal as required. 4.

Authority to be an Autonomous and Organized Body: (1) The Authority shall be an autonomous organized body with perpetual succession and shall have a legal personality. (2) The Authority shall, in the capacity of a legal person, exercise rights, perform duties and discharge liabilities in accordance with prevailing law. 5. Functions, Duties and Powers of the Authority: In addition to the functions, duties and powers mentioned elsewhere in this Act, the functions, duties and powers of the Authority shall be as follows:- (a) To act as an advisor to the Government of Nepal on insurance matters, (b) To formulate national insurance policy and recommend it to the Government of Nepal, (c) To grant prior approval for establishment of an insurance company, grant licenses and revoke them, (d) To issue regulations, directives, guidelines and orders necessary for insurance business, (e) To grant, renew and revoke licenses to insurance intermediaries, (f) To determine capital and capital fund related to insurance business, (g) To prepare and implement necessary programs to make insurance business systematic, regulated, competitive and reliable, (h) To conduct or cause to conduct studies, research, training, orientation and awareness-related activities for the development and expansion of insurance business, (i) To make decisions on complaints filed by the insured against the insurer regarding insurance liability determination, (j) To resolve disputes between various parties of insurance, (k) To perform necessary work relating to risk mitigation in insurance business, (l) To produce skilled human resources for the development of insurance business and formulate and implement programs relating to the promotion of insurance education, (m) To formulate and implement insurance business promotion programs to extend insurance access to all people, (n) To promote micro insurance business to extend insurance access to low-income classes, (o) To coordinate, cooperate and exchange information with other governmental and non-governmental bodies for regulation, inspection, supervision and development of insurance business, (p) To cooperate with insurance regulatory bodies of foreign countries as well as international organizations, other organizations conducting or causing to conduct insurance-related study, research and training programs, (q) To represent the Government of Nepal or the Authority in international organizations related to insurance regulation and obtain membership of such organizations, (r) To operate and cause to operate the Insured Interest Protection Fund and other necessary work, (s) To coordinate with provinces regarding insurance, (t) To perform necessary work to be done in the capacity of insurance regulatory body. 6.

Formation of Board: (1) The Authority shall have a Board of Directors as follows:- (a) Person appointed by the Government of Nepal - Chairperson (b) Joint Secretary, Ministry of Finance - Member (c) Joint Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member (d) One person from among persons having special knowledge of life insurance business - Member (e) One person from among persons having special knowledge of non-life insurance business - Member (2) While appointing members pursuant to clause (d) and (e) of sub-section (1), at least one woman shall be included. (3) An officer-level employee designated by the Authority shall act as the Secretary of the Board. 7. Appointment of Chairperson or Member: (1) There shall be a committee chaired by the member of the National Planning Commission looking after the relevant sector, with the Secretary of the Ministry and an expert member related to the insurance sector, for recommending names to the Government of Nepal for the appointment of the Chairperson of the Board, and the Chairperson shall be appointed on the recommendation of such committee in accordance with this Section. (2) While recommending for the appointment of the Chairperson, the committee pursuant to sub-section (1) shall recommend the names of three persons from among persons fulfilling the qualifications under Section 8 to the Government of Nepal. (3) The Government of Nepal shall appoint one person from among the persons recommended pursuant to sub-section (2) to the post of Chairperson. (4) The appointment of the Chairperson pursuant to sub-section (3) shall be made at least one month before such post falls vacant. (5) The Government of Nepal shall appoint the members pursuant to clause (d) and (e) of sub-section (1) of Section 6 from among persons having the qualifications under sub-section (1) of Section 8. While making such appointment, at least one woman shall be represented. 8.

Qualification and Disqualification of Chairperson or Member: (1) For the Chairperson or Member of the Board, the following qualifications must be fulfilled:- (a) Having obtained at least a post-graduate degree or equivalent in insurance, monetary, banking, financial, commerce, management, public administration, statistics, mathematics, economics or law and having obtained at least five years of high-level managerial work experience in the related field, (b) Having high moral character, (c) Not being disqualified under sub-section (3). (2) Notwithstanding anything contained in sub-section (1), such qualification shall not be required for the member pursuant to clause (b) and (c) of sub-section (1) of Section 6. (3) The following persons shall be disqualified from being appointed to or holding the post of Chairperson or Member:- (a) Non-Nepali citizen, (b) Employee, director, consultant or serving employee of an insurer, (c) Having himself/herself or any member of his/her single family as a founding shareholder or having financial interest in any insurer, or being a founding shareholder of an organized entity having financial interest in any insurer, (d) Having been adjudged insolvent in accordance with prevailing law, (e) Being unable to serve on the Board due to physical or mental illness, (f) Having been convicted by a court of an offense relating to corruption, banking or insurance, fraud, human trafficking, money laundering, organized crime or any other criminal offense involving moral turpitude, (g) Having been blacklisted in accordance with prevailing law and not having completed three years since being released, (h) Having been punished by a court or a regulatory body established under prevailing law, (i) Having taken a permanent residence permit of a foreign country, (j) Not having completed two years since leaving the post of Chairperson, Member, Chief Executive or high-level managerial officer of the Board of Directors of an insurer. 9. Term of Office of Chairperson and Member: (1) The term of office of the Chairperson and the members appointed pursuant to clause (d) and (e) of sub-section (1) of Section 6 shall be four years from the date of appointment. (2) The Government of Nepal may, if it deems appropriate, reappoint the Chairperson or Member for one additional term. 10. Service Conditions of Chairperson and Member: (1) The Chairperson shall be a full-time officer of the Authority. (2) The remuneration, facilities and other service conditions of the Chairperson or Member shall be as prescribed. 11.

Oath to be Taken: Before commencing the work of their office, the Chairperson and the members appointed pursuant to clause (d) and (e) of sub-section (1) of Section 6 shall take an oath of office and secrecy in the format as per the Schedule before the Finance Minister of the Government of Nepal. 12. Circumstances for Vacancy of Chairperson or Member: (1) The Chairperson or Member shall not hold office in any of the following circumstances:- (a) If he/she submits a written resignation to the Government of Nepal, (b) If he/she becomes disqualified to hold office under sub-section (3) of Section 8, (c) If he/she is removed from office by the Government of Nepal under sub-section (2) on the grounds of bad conduct, lack of work capability or failure to discharge official responsibilities. (2) If the Chairperson or Member is required to be removed from office on the grounds mentioned in clause (c) of sub-section (1), he/she may be removed on the recommendation of the following investigation committee:- (a) One person appointed by the Government of Nepal from among retired judges of the High Court - Chairperson (b) Two persons from different fields appointed by the Government of Nepal from among persons having obtained a post-graduate degree and having at least ten years of experience in the insurance or financial sector - Member (3) After an investigation committee is formed under sub-section (2) in respect of the Chairperson or any Member, such person shall be automatically suspended until the completion of the investigation period. (4) The term of the committee formed under sub-section (2) shall be a maximum of three months from the date of formation. (5) If for any reason the post of Chairperson or Member of the investigation committee formed under sub-section (2) falls vacant, such vacancy shall be filled for the remaining term by the same process by which such member was appointed. 13.

Functions, Duties and Powers of Chairperson: In addition to those mentioned elsewhere in this Act, the functions, duties and powers of the Chairperson shall be as follows:- (a) To act as the chief administrative and chief executive officer of the Authority, (b) To formulate insurance policy and other policies, rules, regulations, directives, procedures, periodic plans and annual programs of the Authority and submit them to the Board for approval, (c) To implement or cause to implement the insurance policy and other policies, regulations, directives, procedures, periodic plans and annual programs of the Authority, (d) To operate and manage the Authority, (e) To systematize and regulate the functions to be performed by the Authority, (f) To mediate disputes between the insurer and the insured, Amended by the Some Nepal Acts Amendment Act, 2062. (g) To perform or cause to perform functions relating to regulation, inspection or monitoring of insurance business, (h) To grant approval to open branches, sub-branches and other offices of an insurer or order to close them, (i) To take regulatory action by exercising powers under clauses (a), (b), (c), (d) and (e) of sub-section (1) and clauses (b) and (c) of sub-section (2) of Section 134, (j) To delegate powers vested in him/her to subordinate employees and perform or cause to perform necessary work, (k) To represent or cause to represent the Authority in international organizations. 14. Information to be Furnished to the Authority: The Chairperson and Member shall, within thirty days of being appointed, furnish the following information to the Authority:- (a) Details of profession, employment or business and office in which he/she is involved, (b) Whether he/she or any member of his/her single family is a shareholder of any insurer, and if so, the number of shares taken, (c) Whether he/she or any member of his/her single family has been a director, officer, auditor or consultant of any insurer within the last three years, (d) Whether he/she or any member of his/her single family has worked as an insurance intermediary within the last three years, (e) Details of movable and immovable property in his/her name or in the name of his/her single family. 15.

Not to Abuse Regulatory Opportunity: (1) The Chairperson, Member, employee of the Authority or auditor shall not, while performing functions in their official capacity, provide any information that has come to their knowledge and is required to be kept confidential by law, whether made public or not, to any person other than the concerned person, nor disclose the source thereof. (2) The officers pursuant to sub-section (1) shall not, while performing functions in their official capacity, use or cause to use any confidential information that has come to their knowledge for the benefit, interest or advantage of themselves or any member of their single family. (3) The Chairperson, Member, employee of the Authority, auditor, representative or any person of a firm or company contracting with the Authority shall not, while performing any work on behalf of the Authority, take or give any kind of benefit, facility, concession or advantage to themselves, their single family or anyone else by exercising the regulatory power of the Authority. (4) If any act is done contrary to this Section, the concerned officer shall be deemed to have abused authority in accordance with prevailing law, and information thereof shall be sent in writing to the concerned body. 16. Meeting of the Board: (1) The meeting of the Board shall be held as required, not less than once a month. (2) The meeting of the Board shall be held on the date, place and time fixed by the Chairperson.

Provided that if at least three members of the Board make a written request to call a meeting of the Board, the Chairperson, and in his/her absence the senior member, shall call a meeting of the Board within seven days. (3) The Secretary of the Board shall make available to the members the subjects to be discussed in the meeting at least twenty-four hours before the meeting is held. (4) If more than fifty percent of the total number of members of the Board are present, the quorum for the meeting of the Board shall be deemed to have been constituted. (5) The meeting of the Board shall be chaired by the Chairperson, and in his/her absence, by the senior member. (6) The decision of the majority in the Board shall be valid, and in case of a tie, the person chairing the meeting shall give the casting vote. (7) If the Board deems necessary, it may invite any other expert or officer related to insurance or the concerned subject to the meeting of the Board. (8) The decision of the Board shall be recorded in a separate book, and the person chairing the meeting and all members present shall sign such book. (9) The decision of the Board shall be certified and kept by the Secretary of the Board. (10) Other procedures relating to meetings of the Board shall be as determined by the Board itself. 17. Restriction on Decision-making in case of Conflict of Interest: (1) If any proposal in which the Chairperson, Member or any member of his/her single family has a financial interest, personal interest or business interest is to be discussed in a meeting of the Board, such member shall inform the Board of that fact before the commencement of the meeting. (2) When a proposal in which any Member or any member of his/her single family has an interest is discussed in a meeting of the Board pursuant to sub-section (1), such member shall not participate in such meeting. (3) Any decision made contrary to sub-section (1) or (2) shall not be applicable in respect of such member. 18.

May Form Committee and Sub-committee: (1) The Board may, as required, form other committees or sub-committees to assist in performing any work or action to be performed by it under this Act or the rules made under this Act. (2) The functions, duties, powers, procedures and facilities to be received by members of a committee or sub-committee formed under sub-section (1) shall be as specified by the Board. 19. Arrangement Regarding Employees: (1) The Authority shall appoint the necessary number of employees to smoothly carry out the work of the Authority. (2) The appointment, remuneration, service conditions, facilities and other arrangements of the employees of the Authority shall be as prescribed. (3) While adding employee positions and remuneration and facilities of the Authority under this Section, approval of the Ministry shall be obtained. Chapter-3 Fund, Accounts and Audit of the Authority 20. Fund of the Authority: (1) There shall be a separate Fund of the Authority. (2) The Fund under sub-section (1) shall consist of the following amounts:- (a) Amount received from the Government of Nepal, (b) Amount received for establishment, prior approval and grant of license of an insurance company, (c) Amount received for grant or renewal of license of an insurance intermediary, (d) Amount received as regulatory fee for insurance business, (e) Amount received from foreign governments, international organizations and institutions, (f) Amount received from other sources. (3) Prior approval of the Ministry shall be obtained before receiving the amount under clause (e) of sub-section (2). (4) All amounts received under sub-section (2) shall be deposited by opening an account in a bank or financial institution licensed under prevailing law. (5) All expenses made on behalf of the Authority shall be borne from the amount deposited in the Fund under sub-section (1). (6) Out of the amount deposited in the Fund under this Section, except for the amount set aside annually for the operation, management and insurance development of the Authority and the amount representing fifty percent thereof, the remaining amount shall be deposited annually in the Federal Consolidated Fund. (7) Other arrangements relating to the operation of the Fund under sub-section (1) shall be as prescribed. 21. Accounts of Income and Expenditure: (1) The Authority shall keep its accounts, books and financial statements properly in accordance with prevailing Nepal Accounting Standards so as to clearly show its financial position. (2) The Authority shall maintain an internal control system as prescribed in its work and operations. 22. Audit: (1) The audit of the Authority shall be conducted by the Auditor General. (2) The Authority shall have its internal audit conducted regularly. 23.

Audit Committee: (1) The Board shall form an audit committee, answerable to it, as follows:- (a) One director designated by the Board - Coordinator (b) One expert in the relevant subject designated by the Board - Member (2) The departmental head looking after internal audit of the Authority shall act as the Secretary of the Audit Committee. (3) Arrangements relating to the functions, duties and powers of the Audit Committee under sub-section (1) shall be as prescribed. Chapter-4 License 24. Not to Carry on or Cause to Carry on Insurance Business without License: (1) No person shall, without obtaining a license under this Act, directly or indirectly carry on or cause to carry on any transaction, business, industry or trade relating to insurance business whether by using words such as insurance, reinsurance, insurance fund or otherwise. (2) No person shall, in contravention of sub-section (1), carry on any transaction, business, trade or industry relating to insurance business or use words such as insurance, reinsurance, insurance fund in the name of his/her company, firm or organization for any other purpose. (3) No person shall carry on or cause to carry on insurance-related transactions or insurance business with any company, firm or organization other than an insurer licensed under this Act. 25. Establishment of Insurance Company: (1) A person desiring to conduct insurance business under this Act shall establish an insurance company by registering as a public limited company in accordance with prevailing law. (2) Notwithstanding anything contained in sub-section (1), an insurance company already established and licensed to carry out insurance business before the commencement of this Act shall not be required to re-establish a company for the same purpose. (3) A person or his/her single family or a company or organized entity in which a member of his/her single family is a founding shareholder shall not invest in shares exceeding fifteen percent of the paid-up capital of an insurance company to be established under this Section.

26. Prior Approval to be Obtained: (1) A person desiring to establish a company under Section 25 for conducting insurance business shall submit an application to the Authority for prior approval with the prescribed fee and attaching the following documents:-

(a) Memorandum of Association and Articles of Association of the proposed insurance company,

(b) Feasibility study report and infrastructure details of the insurance business,

(c) Personal details of the founders in the format prescribed by the Authority,

(d) Certified copy of any agreement made among the founders prior to the establishment of the proposed insurance company, and a summary thereof,

(e) Proof of tax payment by the founder up to the previous fiscal year immediately prior to submitting the application for prior approval,

(f) If an organized entity has submitted the application, the following details:-

(1) Decision of the Board of Directors regarding the establishment of the insurance company,

(2) Memorandum of Association and Articles of Association of the concerned company,

(3) Documents as prescribed confirming capability to invest,

(4) If the entity conducts business or transactions regulated under prevailing law, permission from the regulatory body of such entity to invest in insurance business.

(g) Other details and documents determined by the Authority.

(2) A foreign insurance company may, with prior approval of the Authority, establish an insurance company in joint investment with an organized entity of Nepal or a Nepali citizen, or open a branch office in Nepal.

(3) If a foreign insurance company desires to establish an insurance company in joint investment or open a branch office in Nepal under sub-section (2), it shall submit an application to the Authority for prior approval with the prescribed fee.

(4) While submitting the application under sub-section (3), the applicant shall, in addition to the details mentioned in sub-section (1), attach the following details and documents:-

(a) A copy of the license obtained for carrying out insurance business in the concerned country,

(b) Proof of having updated and renewed the license for carrying out insurance business in the concerned country,

(c) Proof of approval granted by the regulatory body of the concerned country to open a branch office in Nepal,

(d) Decision of the Board of Directors of the concerned insurance company regarding establishing an insurance company in joint investment in Nepal or opening a branch office,

(e) Audit reports of the last five fiscal years of such company showing financial capability,

(f) List of directors of the foreign entity and ratio of share ownership and details of entities having financial interest,

(g) Other details and documents determined by the Authority.

(5) Upon examining the application received under sub-section (1) or (3), if it appears appropriate to grant prior approval for establishing an insurance company or opening a branch office in joint investment in Nepal

by such insurance company or foreign insurance company, the Authority shall grant prior approval to the applicant in the prescribed format within sixty days of the application.

(6) If an insurer has to amend its Memorandum of Association or Articles of Association, it shall obtain the prior approval of the Authority.

27. May Refuse to Grant Prior Approval: (1) Notwithstanding anything contained in Section 26, the Authority may refuse to grant prior approval for establishing an insurance company or opening a branch office of a foreign insurance company in any of the following circumstances:-

(a) If the name of the proposed insurance company matches the name of any insurer already registered,

(b) If the name of the proposed insurance company or the insurance business to be carried out by it appears inappropriate or undesirable from the perspective of public interest, morality, decency, religion, caste or community or public order,

(c) If, upon studying the feasibility study report, details, documents and other infrastructure submitted by the applicant, the insurance business market is limited and it cannot be believed that the insurance business can be conducted in a healthy and competitive manner if further insurance companies are licensed,

(d) If the objective of the proposed insurance company appears to be contrary to or against prevailing law,

(e) If documents and details specified by the Authority under Section 26 are not submitted,

(f) If each founder does not agree to take at least ten thousand shares of the proposed insurance company or does not clearly specify the number of shares to be taken,

(g) If the proposed insurance company is not seen to have proposed to maintain paid-up capital under Section 36,

(h) If any founder of the proposed insurance company has been convicted by a court for an offense relating to insurance, banking offense, fraud, forgery, money laundering, corruption, human trafficking, kidnapping or hostage-taking or other offense involving moral turpitude and five years have not elapsed since serving such sentence,

(i) If the proposed insurance company appears to have the objective of conducting other businesses in addition to insurance business,

(j) In circumstances where the grant of prior approval has been prohibited under Section 31,

(k) If any founder of the proposed insurance company or any member of his/her single family has been blacklisted under prevailing law and three years have not elapsed since being released,

(l) If fifteen percent or more of the shares of the capital that the founders of the proposed insurance company have committed to pay immediately are to be owned by a single person, single family, entity or group,

Provided that this provision shall not apply to shares to be taken by the Government of Nepal, Provincial Government or foreign investor.

(m) If he/she or his/her single family has founding shares in any insurer carrying on the same type of insurance business.

(2) Notwithstanding anything contained in sub-section (1), the Authority shall not grant prior approval for

establishing any company to carry on more than one type of insurance business, except reinsurance business.

(3) If the Authority refuses to grant prior approval for establishing an insurance company under this Section, it shall give written notice with reasons to the applicant within sixty days of the application.

28. Application to be Submitted: (1) If a company established in accordance with prevailing law after obtaining prior approval under Section 26 desires to carry out insurance business, it shall submit an application to the Authority attaching the following details and documents:-

(a) Prior approval given by the Authority for establishing the insurance company,

(b) Copy of the certificate of incorporation of the insurance company,

(c) Copy of the Memorandum of Association and Articles of Association of the insurance company,

(d) If the founder of the insurance company is a company or organized entity, the audit report with tax payment and annual financial statements of such company or organized entity for the last three fiscal years,

(e) Name of the founding shareholders of the founding company or organized entity under clause (d) and details of their single families,

(f) Type of insurance business the insurer intends to carry out,

(g) Class (portfolio) of insurance business the insurer intends to carry out,

(h) Details of infrastructure required to conduct insurance business or a copy of the lease agreement if the building is rented,

(i) Personal details of the Chief Executive and other managerial level officers,

(j) Arrangement regarding insurance risk retention,

(k) Details relating to investment policy, risk rating, claims, reinsurance, information technology,

(l) Draft of proposed insurance policy or, in case of a reinsurance company, proposed reinsurance contract,

(m) Documents evidencing payment of the amount of shares the founders committed to take,

(n) Details relating to the organizational structure of the company,

(o) Regulations relating to remuneration, service conditions and facilities of the company's employees,

(p) Regulations relating to financial administration and procurement of the company,

(q) Other details and documents determined by the Authority.

(2) When a branch office of a foreign insurance company submits an application to conduct insurance business, in addition to the details mentioned in sub-section (1), the following details shall also be attached:-

(a) License granted by the regulatory body of the concerned country to such foreign

40. Catastrophe Fund to be Maintained: (1) An insurer shall maintain a separate catastrophe fund to bear future losses arising from catastrophic events.

(2) Other provisions relating to the catastrophe fund shall be as determined by the Authority. 41.

Claim Payment Fund and Reserve Fund: (1) An insurer shall establish a claim payment fund and a reserve fund and shall deposit the following amounts in such fund: (a) Amount of liability on account of claims that could not be paid within the specified period (outstanding claims), (b) Amount of liability for insurance claims where an event has occurred in relation to the property and liability insured by the insurer but has not been reported to the insurer (incurred but not reported) or insufficient information has been provided (incurred but not enough reported), (c) Amount of liability on account of unexpired risk of the insurer (unexpired risk reserve). (2) Other provisions relating to the fund under sub-section (1) and the amount to be deposited in such fund shall be as determined by the Authority. 42. Assets to Exceed Liabilities: (1) The total assets of an insurer shall be more than the total liabilities. (2) For the purpose of sub-section (1), the ratio of total assets to total liabilities (solvency margin) of any insurer shall be as determined by the Authority. (3) An insurer or a branch office of a foreign insurance company engaged in the insurance business at the time of commencement of this Act shall maintain the ratio of assets to liabilities (solvency margin) under sub-section (2) within the period specified by the Authority. (4) For the purpose of this section, the valuation of the total assets and total liabilities of an insurer shall be made as specified. 43. Restriction on Distribution of Dividends: (1) Notwithstanding anything contained in the prevailing law, an insurer shall not declare and distribute dividends to its shareholders in the following circumstances: (a) Until provision has been made for all its preliminary expenses, losses up to the previous financial year, and the fund or reserve fund required to be maintained for bearing risks as determined by this Act and the Authority, (b) Until the minimum paid-up capital required to be maintained under section 36 is fulfilled, (c) Until the ratio of assets and liabilities under section 42 is maintained, (d) Until the shares allocated to the general public are distributed and the full paid-up capital is paid. (2) An insurer shall obtain the approval of the Authority as specified before declaring dividends in accordance with the prevailing law. 44. Allocation of Shares: (1) An insurer shall set aside at least thirty percent of its total issued capital for sale to the general public.

Provided that an insurer registered as a branch office of a foreign insurance company shall not issue and sell shares. (2) The insurer may set aside up to five percent of the shares allocated to the general public under sub-section (1) for its employees. (3) With the approval of the Authority, the insurer may convert the remaining portion into a general public share group, keeping the ownership of the promoter share group not less than fifty-one percent. (4) Notwithstanding anything contained elsewhere in this section, the provisions relating to shares of an insurer established under the ownership of the Government of Nepal or a Provincial Government shall be as determined by the Government of Nepal. (5) Other provisions relating to the allocation, sale, and distribution of shares of an insurer shall be in accordance with the prevailing federal law on securities. 45. Prospectus and Share Issuance: (1) An insurer shall submit to the Authority a prospectus approved by the Nepal Securities Board in accordance with the prevailing law before making a public issuance of securities. (2) Unless the prospectus is submitted under sub-section (1), such insurer or any person on its behalf shall not publish such prospectus. (3) The Authority shall not register such prospectus until written information that the Nepal Securities Board has granted approval to the prospectus under sub-section (1) is received by the Authority. (4) An insurer may issue shares to the general public only after the completion of one year from the commencement of the insurance business. When issuing shares in this manner, the audit of the latest year must have been completed. (5) Notwithstanding anything contained in the prevailing law, when an insurer calls for applications for the purchase of shares from the general public, it shall demand one hundred percent of the face value of the shares. 46. Prohibition on Selling, Mortgaging, or Transferring Rights: (1) A promoter of an insurer shall not sell, mortgage, or in any way transfer the rights of promoter shares until five years have elapsed from the establishment of the insurance company.

Provided that if, before the commencement of this Act, any person has taken shares of any insurer in excess of the number mentioned in this Act, such person shall sell and distribute such excess shares within two years of the commencement of this Act. (2) Notwithstanding anything contained in sub-section (1), if an obstacle or disruption occurs in the operation of an insurer and a special situation arises, or if a promoter is blacklisted under the prevailing law, shares may be purchased and sold among promoters with the approval of the Authority. Explanation: For the purpose of this sub-section, "special situation" shall be understood to mean a situation where a meeting of the board of directors cannot be held for three consecutive times due to a lack of a quorum, or where no decision can be reached due to a dispute among directors. (3) Provisions relating to the conditions and restrictions for mortgaging or selling and distributing shares held in the name of a promoter of an insurer after the completion of five years shall be as determined by the Authority. (4) While holding such office or within one year from the date of retirement from such office, the chief executive, auditor, employee, company secretary, or a person directly involved in the management and accounting work of an insurer shall not purchase or sell, cause to purchase or sell, mortgage, cause to mortgage, give or take donations, transfer, or transact shares of the concerned insurer or its subsidiary company in their own name, in the name of a member of their immediate family, any other person with a financial interest, or a firm, company, or institution under the control of such person, or to another person. Provided that this sub-section shall not be deemed to prevent the purchase, sale, or transfer of shares when bonus shares, rights shares, shares allocated to employees, or new shares are issued, when one insurer acquires another insurer, merges, amalgamates, or when an insurance business is transferred under Chapter-14, or when implementing a directive of the Authority. (5) The purchase, sale, and other arrangements of shares of an insurer shall be in accordance with the prevailing law. Chapter-6 Board of Directors and Chief Executive 47.

Formation of Board of Directors: (1) Notwithstanding anything contained in the prevailing law, the board of directors of an insurer shall consist of at least five and at most seven directors, including one independent director. (2) The directors under sub-section (1) shall be appointed by the general meeting of the insurer. Provided that, (a) Until the first annual general meeting of the insurer, directors shall be appointed by the promoters. (b) If the position of a director, other than a director representing an institutional representation or an alternate director, becomes vacant before the annual general meeting, the board of directors of the insurer may appoint a director for the period until the next general meeting. (c) In the case of an insurer in which the Government of Nepal, a Provincial Government, any insurer, any organized institution, company, or foreign insurer has taken shares, the Government of Nepal, Provincial Government, or such institution may appoint directors in proportion to the number of shares it has taken, and while appointing directors in this manner, alternate directors shall also be appointed who can act in the absence of the director. (3) More than one person from the same immediate family shall not be a director of the same insurer or of insurers of the same type. (4) The board of directors shall appoint at least one independent director from among persons having the qualifications and experience under section 49 and shall provide information thereof at the first general meeting held after such appointment. (5) The directors shall elect a chairperson of the board of directors by a majority of themselves. Provided that an independent director shall not be the chairperson of the board of directors. (6) A person appointed as chairperson of the board of directors shall take an oath of office and secrecy in the format as per the schedule before the chairperson of the Authority, and a person appointed as a member of the board of directors shall take an oath of office and secrecy before the chairperson of the board of directors before assuming office as a director. (7) If the position of a director becomes vacant for any reason, the board of directors shall, within thirty-five days, appoint a director to such vacant position for the period until the next general meeting. 48. Term of Office of Director: The term of office of a director shall be a maximum of four years, and they may be reappointed or renominated. Provided that an independent director may be appointed for only one term. 49.

Qualification of Director: (1) The following person shall be qualified to be appointed as a director of an insurer: (a) Has worked for at least five years as a director or officer level of a foreign or domestic insurer, bank or financial institution, or an organized institution in a related field, or at the officer level of government service or an organized institution, (b) Has obtained a postgraduate degree in any subject and has worked for at least three years as a director or officer level of a foreign or domestic insurance, bank or financial institution, or an organized institution in a related field, or at the officer level of government service or an organized institution, (c) Has completed chartered accountancy or has obtained a master's degree in insurance, monetary, banking, financial, commerce, management, public administration, statistics, mathematics, economics, or commercial law. (2) Notwithstanding anything contained in sub-section (1), a person who has obtained a master's degree or equivalent in insurance, monetary, banking, financial, commerce, management, public administration, statistics, mathematics, economics, or commercial law and has at least five years of experience at the director or managerial level of a domestic or foreign insurer or an organized institution in a related field shall be qualified to be appointed as an independent director of an insurer. Provided that a director, a member of the immediate family of a director, auditor, consultant, fundamental shareholder of the insurer, or a person having a financial interest with the insurer shall not be an independent director. 50.

Disqualification of Director: The following person shall be disqualified from being elected or nominated to the position of director: (a) Has not completed the age of 25 years, (b) Is unable to serve as a director due to physical or mental illness, (c) Is in a state of insolvency under the prevailing law, (d) Has been blacklisted under the prevailing law and three years have not elapsed since the date of removal from the blacklist, (e) Is a director of an insurer, bank or financial institution, or any type of deposit-collecting organized institution, or a current director or employee who has taken fundamental shares of the promoter group of any other insurer, (f) Is a current auditor or consultant of the concerned insurer, or a person, institution, firm, or company that is a partner in any contract or lease with the insurer or has a private interest, (g) Has obtained membership of the securities market to act as a securities dealer, or is a merchant banker, (h) Is serving as a director of another insurer, (i) Is disqualified under the articles of association of the concerned insurer from being a director due to share ownership, (j) Has not taken the minimum number of shares required to become a director, (k) Holds a public office or is a current employee of the Government of Nepal, or an institution, authority, board, insurer, bank, or financial institution owned by the Government of Nepal, Provided that this provision shall not be deemed to prevent the Government of Nepal, a Provincial Government, or an institution owned by the Government of Nepal from nominating a director in a different type of insurer whose shares it has purchased. (l) Has not paid taxes due under the prevailing law, (m) Has been convicted by a court in Nepal or a foreign country on charges of theft, fraud, forgery, cheating, corruption, any criminal offense involving moral turpitude, or offenses related to insurance, banking, or money laundering, and five years have not elapsed since the completion of the sentence, (n) Has been penalized by a regulatory body under the prevailing law for acting contrary to the law, or five years have not elapsed since such action, (o) Has unpaid imprisonment or fines imposed by a court order, or has outstanding government dues, (p) Has not completed three years from the date of action taken by the Authority for failing to comply with the Authority's directives. 51.

Circumstances for Director Not to Remain in Office: (1) A person shall not remain in the position of director of an insurer in the following circumstances: (a) If disqualified from holding the position of director under section 50, (b) If a proposal submitted to the general meeting by at least fifty-one percent of the shareholders of the group the director represents in the board of directors to remove the director from office is passed by a majority, Explanation: For the purpose of this section, "group" shall be understood to mean the group of promoters and general public shareholders. (c) If the resignation submitted by the director from their position is accepted, (d) If the Authority directs the removal of a director on the grounds that such director is disqualified from holding the position and performing the functions of director of the insurer due to acting against the interests of the insurer or the insured. (2) If the insurer believes that any of its directors is disqualified from remaining in office due to acting contrary to this Act, the regulations made under this Act, or the directives of the Authority, or if a director ceases to hold such office, the insurer shall provide written information thereof to the Authority within fifteen days. (3) If the Authority is informed in writing under sub-section (2) that a director is disqualified from remaining in that office, the Authority may conduct necessary inquiries and direct the insurer to remove such director from office. 52. Meeting of Board of Directors: (1) The meeting of the board of directors shall be held at least six times a year.

Provided that the interval between two meetings shall not exceed two months. (2) If at least one-fourth of the directors make a written request, the chairperson of the board of directors shall call a meeting of the board of directors at any time. (3) The meeting of the board of directors shall be held at the place, date, and time specified by the chairperson. (4) The chairperson shall preside over the meeting of the board of directors, and in their absence, the senior-most director shall preside over the meeting. (5) A meeting of the board of directors shall not be held without at least fifty-one percent of the total number of directors being present. (6) The decision of the majority in a meeting of the board of directors shall be valid, and if the votes are equal, the member presiding over the meeting shall cast the deciding vote. (7) The names of directors present, the subjects discussed, and the decisions of the meeting (minutes) in a meeting of the board of directors shall be recorded in a separate book, and all directors present at the meeting shall sign the said decision. Provided that if a director wishes to record a dissenting opinion on a decision of the board of directors, such dissenting opinion may be signed by them and recorded. (8) If any subject in which a director has an interest is to be discussed in a meeting of the board of directors or any other sub-committee, information of that shall be provided to the meeting, and such director shall not participate in that meeting. (9) The board of directors may obtain necessary opinions and advice from an expert on the subject scheduled for discussion in the meeting. (10) A director shall receive meeting allowances and other facilities as determined by the general meeting, subject to the directives issued by the Authority, for attending meetings. 53.

Functions, Duties, and Powers of Board of Directors: (1) Subject to this Act, the rules or regulations made under this Act, the directives, orders, memorandum, articles of association, and other prevailing laws, all functions, duties, and powers of the insurer, except those performed by the general meeting of the insurer, shall vest in the board of directors of the insurer. (2) It shall be the duty of the board of directors to manage the overall risk of the insurer, conduct the insurance business in the interest of the insured and general public shareholders, maintain corporate governance, and ensure non-interference in the day-to-day operations. (3) Other functions, duties, and powers of the board of directors shall be as follows: (a) To make and implement necessary regulations, directives, and procedures subject to this Act, or the rules, regulations, directives, orders, memorandum, articles of association, and prevailing laws made under this Act, (b) To formulate and implement or cause to implement policies and plans on risk assessment, management, insurance claim payment, asset and liability management, budget, planning, and other necessary subjects of the insurer, (c) To approve and implement or cause to implement necessary policies and standards in accordance with the directives of the Authority relating to the operation of the insurance business, (d) To cause to maintain the paid-up capital, insurance fund, and other current and fixed assets of the insurer as determined by the Authority, (e) To regularly monitor and analyze the policies adopted by the insurer and give necessary directions to the management, (f) To present the audit report along with the annual report of the insurer to the general meeting, (g) To perform or cause to perform functions as specified by the Authority from time to time.

54. May Form Committee or Sub-Committee: (1) Except for functions explicitly stated to be performed by a particular body or office bearer in this Act, the board of directors may, for a specific purpose, form other committees or sub-committees as necessary, subject to the directives of the Authority. (2) The functions, duties, and powers of a committee or sub-committee formed under sub-section (1), and the procedure for its meetings, shall be as determined by the board of directors. 55. Delegation of Authority: The board of directors may delegate some of its powers to any director, committee or sub-committee under section 54, chief executive, or person acting as the chief executive of the insurer, subject to this Act, the regulations made under this Act, and the memorandum and articles of association of the insurer. Provided that managerial authority shall not be delegated to a director. 56.

Provided that before being removed from office in this manner, they shall be given a reasonable opportunity to present a defense.

(4) When appointing a chief executive, the board of directors shall appoint a person with the following qualifications and experience and shall inform the Authority within seven days of such appointment:

(a) Has obtained at least a master's degree or equivalent in insurance, monetary, banking, financial, commerce, management, public administration, statistics, mathematics, economics, or law, and has at least seven years of experience, including at least five years in the insurance sector at the managerial level, eight years in the banking or financial sector, or if in both sectors, at least one year of experience in insurance combined with at least seven years of total experience, or

(b) Has completed chartered accountancy or has obtained at least a bachelor's degree or equivalent in insurance, monetary, banking, financial, commerce, management, public administration, statistics, mathematics, economics, engineering, or law, and has at least twelve years of experience, including at least ten years in the insurance sector at the managerial level, fifteen years in the banking or financial sector, or if in both sectors, at least one year of experience in insurance combined with at least twelve years of total experience.

(5) The following person shall not be appointed as the chief executive of an insurer:

(a) Is unable to serve as a director due to physical or mental illness,

(b) Has been blacklisted under the prevailing law or three years have not elapsed since removal from the blacklist,

(c) Is serving as a director of the insurer, a close relative of a director, an employee, an insurance intermediary, or a consultant,

(d) Has served as an auditor of the same insurer within the past three years,

(e) Is a securities dealer or a member of the securities market,

(f) Has a financial interest with the insurer,

(g) Has been a chairperson or the chairperson of the board of directors,

Provided that this provision shall not be deemed to prevent the Government of Nepal from appointing a chairperson or director of an insurer.

(h) Six months have not elapsed from the date a person who has been a chief executive ceased to hold such position,

(i) Has been sentenced to imprisonment under the prevailing law and three years have not elapsed since the completion of such sentence,

(j) Has obtained permanent residency permission of a foreign country,

Provided that this provision shall not apply to the chief executive of a foreign insurer or an insurer established with joint investment.

(k) Has been convicted by a court for criminal offenses such as forgery, fraud, corruption, money laundering, human trafficking, banking offenses, insurance or other fraud, hostage-taking, or kidnapping,

(l) Holds a public office.

(6) Notwithstanding anything contained elsewhere in this section, an insurer with majority shares of a foreign insurer or a foreign insurance company may appoint its employee as the chief executive, subject to this section.

(7) A branch office of a foreign insurer in Nepal shall appoint a chief executive based on the qualifications and experience under this section.

(8) The remuneration and other terms and conditions of service and facilities of the chief executive shall be as determined by the board of directors, subject to the directives issued by the Authority from time to time, and the terms and conditions of service and facilities shall be determined at the time of their appointment.

58. Functions, Duties, and Powers of the Chief Executive: (1) It shall be the duty of the chief executive to perform the daily, commercial, and administrative functions of the insurer in accordance with the policies approved by the board of directors, the directives given by the Authority, and the prevailing law.

(2) The functions, duties, and powers of the chief executive of the insurer shall be as follows, subject to the authority delegated by the board of directors:

(a) To exercise the powers conferred by the board of directors, implement the decisions of the board of directors, and oversee and control the work, activities, and transactions of the insurer, subject to the memorandum and articles of association,

(b) To prepare the annual budget and work plan of the insurer and submit them to the board of directors for approval,

(c) To manage the necessary human resources, subject to the employee regulations of the insurer,

(d) To implement or cause to implement the decisions made by the general meeting and the board of directors,

(e) To operate the institution in accordance with this Act or the directives of the Authority and ensure effective internal control and risk management of the institution,

(f) To submit reports, statements, documents, and decisions that the insurer is required to submit to the Authority or other bodies, subject to this Act, or the rules, regulations, directives or orders made under this Act, memorandum, and articles of association, in a timely manner.

(3) The chief executive shall be responsible to the board of directors for their work. 59. Management or Technical Service Agreement: (1) An insurer may enter into a management or technical service agreement with any domestic person or foreign organized institution with the prior approval of the Authority.

(2) Before entering into an agreement under sub-section (1), the draft of such agreement shall be submitted to the Authority for approval.

(3) Other provisions relating to management or technical service agreements or expert services shall be as specified. 60. May Formulate Whistleblower Policy: (1) An insurer may formulate and implement a whistleblower policy to confidentially report irregularities or potential irregularities committed or likely to be committed by the management, office bearers, or employees of the insurer in relation to compliance with this Act, the rules, regulations, and directives issued under this Act.

(2) The board of directors of the concerned insurer shall have the duty to protect the professional security of a person who confidentially reports irregularities committed by the chief executive, office bearers, auditors, consultants, employees, or insurance intermediaries of the insurer under sub-section (1). Chapter-7

Operation of Insurance Business

61.

Types of Insurance Business: (1) The types of insurance business shall be as follows: (a) Life insurance business, (b) Non-life insurance business, and (c) Reinsurance business. (2) An insurer conducting life insurance business may conduct life insurance business of the type (portfolio) as specified, subject to the license. (3) An insurer conducting non-life insurance business may conduct non-life insurance business of the type (portfolio) as specified, subject to the license. (4) The type of business to be conducted by an insurer conducting reinsurance business shall be as determined by the Authority. 62. Insurance Contract: (1) An insurance contract shall be in writing. (2) The proposal made by the insured for insurance, the policy, its schedules, and the confirmations issued in relation thereto shall be considered integral parts of the insurance contract. (3) When entering into an insurance contract, the insurer and the insured shall clearly inform each other of factual information regarding the proposed risk in good faith. (4) An insurable interest in the subject matter of the insurance must exist at the time of the proposal for insurance. (5) Other provisions relating to the insurance contract shall be as specified. 63. Insurance Policy: (1) An insurer shall issue an insurance policy as approved by the Authority. (2) After the issuance of the insurance policy, it shall be deemed that an insurance contract has been concluded between the insurer and the insured regarding the matters mentioned in the policy, and the terms of such contract shall be binding on both parties. (3) The insurer shall not raise any question regarding a matter not disclosed by the insured at the time of making the insurance proposal after one year from the date of issuance of the insurance policy. (4) Notwithstanding anything contained in sub-section (3), if it is confirmed that an insured has maliciously concealed a material fact relating to the risk or provided false information after the issuance of the insurance policy, the insurer may at any time direct the insured to correct such information or stop any benefits receivable by the insured. (5) An insured may transfer the rights of a life insurance policy to another person as specified. (6) Other provisions relating to the insurance policy shall be as determined by the Authority. 64.

Premium: (1) An insurer shall calculate the premium based on the insurance rates as determined by the Authority. (2) An insurer shall not issue an insurance policy without receiving the full premium. (3) Notwithstanding anything contained in sub-section (2), if a lump sum payment has not been made for some reason, the premium shall be deemed received if a policy is issued on the guarantee of a bank or the Government of Nepal, specifying the period for payment. Provided that a policy shall not be issued on a bank guarantee for a period longer than thirty days. (4) Notwithstanding anything contained elsewhere in this section, in the case of life insurance, there shall be no bar to issuing a policy by receiving premium in installments, or in the case of any specified non-life insurance, by receiving partial payment. (5) If the premium is not received by the insurer in time from a person or institution responsible for collecting and paying the premium to the insurer, the insurer shall provide information thereof to the insured. (6) Other provisions relating to insurance rates and premiums shall be as specified by the Authority. 65. Co-Insurance Fund: The Authority may establish or cause to establish a co-insurance fund (insurance pool) for an insurer to bear the liability of a specific risk group under the insurance business. 66. Prohibition on Insurance: (1) Notwithstanding anything contained elsewhere in this Act, an insurer shall not insure any property or liability of the following persons or institutions: (a) The liability borne by the insurer itself, (b) The insurer's own fundamental shareholders, directors, consultants, auditors, employees, or a member of their immediate family, (c) Fundamental shareholders or a member of their immediate family, (d) A firm, company, or institution that has the right to nominate or appoint a director of the insurer, (e) Any firm, company, or institution in which a director of the insurer has a financial interest, or for which a director, managing agent, or partner of the insurer serves as a director, managing agent, or partner, or a fundamental shareholder or member of their immediate family. Provided that an insurer conducting life insurance business shall not be prevented from insuring the persons mentioned in this sub-section, subject to the terms and limits of the insurance sum determined by the Authority. (2) Notwithstanding anything contained elsewhere in this section, the provision mentioned in sub-section (1) shall not apply to insurance of property or liability owned by the Government of Nepal. 67.

Prohibition on Joint Business or Pooling of Assets: (1) An insurer shall not engage in any business in partnership or pool assets with its director, director's immediate family, fundamental shareholders, persons having a financial interest, any firm, company, or institution for which the insurer or its director acts as a managing agent or partner, or the chief executive. (2) If, prior to the commencement of this Act, an insurer has engaged in any business in partnership or pooled any assets with its director, director's immediate family, fundamental shareholders, persons having a financial interest, any firm, company, or institution for which the insurer or its director acts as a managing agent or partner, or the chief executive, it shall separate its business or assets from such business or assets within six months of the commencement of this Act. 68. Prohibition on Use of Assets: (1) Except for facilities or benefits receivable as a director, chief executive, shareholder, employee, or insurance intermediary of a company under the prevailing law, an insurer's directors, director's immediate family, fundamental shareholders, persons having a financial interest, any firm, company, or institution for which the insurer or its director acts as a managing agent or partner, or the chief executive shall not in any way enjoy the use of the insurer's assets. (2) An insurer shall not lease or utilize in any other way the property of its director, director's immediate family, fundamental shareholders, any firm, company, or institution for which the insurer or its director acts as a managing agent or partner, or the chief executive. 69.

Acts Not to be Performed by Insurer: (1) An insurer shall not do or cause to do any of the following acts: (a) Purchase or sell movable or immovable property for an amount exceeding the limit determined by the Authority, (b) Provide loans or any kind of guarantee or security to its fundamental shareholders, its directors, or a director's immediate family, or any firm, company, or institution for which the insurer, fundamental shareholders, or managing agent acts as a managing agent or partner, (c) Provide any kind of loan except for granting loans to the insured against the security of a life insurance policy, Provided that this provision shall not be deemed to prevent the insurer from granting advances or loans to its employees as provided in the employee service condition regulations. (d) Issue an insurance policy in any format other than the format approved by the Authority, (e) Issue any type of insurance policy other than the insurance policy approved by the Authority, (f) Calculate the premium in a manner adverse to the insurance rates determined by the Authority, (g) Invest in shares or securities of an insurer or insurance broker conducting the same type of insurance business, Provided that this provision shall not be deemed to prevent an insurer conducting one type of insurance business from purchasing securities of an insurer conducting another type of insurance business with prior approval of the Authority. (h) Invest in any kind of company, firm, or organized institution in which any member of the board of directors is a director, or in which such member has a private, financial, or commercial interest, (i) Establish any kind of monopoly in the insurance business or perform any other act of a nature that controls the insurance business, (j) Create any kind of obstacle to the competitive environment in the insurance sector or do or cause to do any act that creates a restrictive practice, (k) Do or cause to do any act contrary to this Act, the rules, regulations, or directives issued under this Act. (2) If an insurer comes to know or suspects that any person is obtaining insurance through illegal means or by committing money laundering offenses, the insurer shall not conceal such insurance, or alter, pay, or conceal or falsify information regarding its origin or source, or provide any kind of assistance for that purpose, in order to protect such person from legal action. (3) If an insurer comes to know, receives information, or has reasonable grounds to suspect that any person has committed or assisted in committing an act under sub-section (2), the insurer shall immediately provide such information to the Authority and the Financial Information Unit established under the prevailing law.

70. Compliance Officer to be Appointed: (1) An insurer shall, within one year of obtaining the license, appoint or designate a compliance officer from among officer-level employees at the managerial level who have obtained a master's degree in insurance, management, commerce, or law, and shall inform the Authority thereof.

(2) Insurers that have already obtained licenses at the time of commencement of this Act shall, within six months of the commencement of this Act, appoint or designate a compliance officer under this section and inform the Authority thereof.

(3) The compliance officer shall prepare details regarding whether or not the subjects mentioned in sub-section (3) are being complied with by the insurer and submit them to the Authority on a quarterly basis.

(4) Notwithstanding anything contained in sub-section (4), the Authority may request updated details from the compliance officer at any time regarding whether or not the subjects mentioned in sub-section (3) are being complied with by the concerned insurer.

(5) If details are requested under sub-section (5), the compliance officer shall submit such details to the Authority within the period specified by the Authority.

(6) The concerned compliance officer shall be responsible for the truthfulness and authenticity of the details submitted under sub-section (6).

(7) Nothing mentioned in this section shall be deemed to exempt the insurer, the board of directors of the insurer, or the chief executive from the obligation to ensure updated compliance with the subjects mentioned in sub-section (3). 71. Distribution of Surplus: (1) In a life insurance business where policies are issued with participation in profits, the insurer shall allocate and provide for the distribution of surplus arising from the life insurance business based on the actuary's valuation report.

(2) To allocate and provide for the distribution of surplus under sub-section (1), the insurer shall, with the approval of the Authority, transfer at least ninety percent of the surplus amount to the Life Insurance Fund.

(3) Other provisions relating to the distribution and provision of surplus from the life insurance business shall be as specified. 72. Risk Acceptance Based on Net Assets: (1) An insurer shall accept risk based on its net

assets.

(2) Other provisions relating to the risk accepted by the insurer shall be as specified. 73.

Investment in Subsidiary Company: (1) An insurer may, with the approval of the Authority, establish a subsidiary company or invest in such a company. (2) While granting approval to establish a subsidiary company or invest under sub-section (1), the Authority may impose necessary conditions, and it shall be the duty of the concerned insurer to comply with such conditions. (3) Notwithstanding anything contained elsewhere in this section, an insurer shall not establish a subsidiary company or invest in a company that conducts the type of insurance business the insurer itself is operating. (4) Other provisions relating to investments made by an insurer shall be as determined by the Authority from time to time. 74. Approval Required for Sale of Assets: (1) When a foreign insurance company sells or mortgages immovable property located in Nepal, or movable property exceeding the specified limit, or repatriates it to a foreign country, approval of the Authority shall be obtained in addition to the body required to give approval under the prevailing law. (2) While granting approval under sub-section (1), the Authority may impose necessary conditions or standards. Chapter-8 Micro Insurance Business 75. Micro Insurance to be Conducted: Every insurer shall conduct micro insurance business targeting low-income groups and backward areas. 76. Insurance Company May be Established Solely for Micro Insurance: (1) Notwithstanding anything contained elsewhere in this Act, an insurance company may be established with the objective of conducting only micro life insurance or micro non-life insurance business. (2) The capital of an insurer established for the purpose mentioned in sub-section (1) shall be as specified. (3) Provisions relating to the establishment and licensing of an insurer established under sub-section (1) shall be in accordance with this Act. 77. Contract to be Made: (1) An insurer shall enter into a written agreement with an insurance agent who is to perform micro insurance-related work before appointing such insurance agent. (2) When making an agreement with an agent performing micro insurance work under this section, if such agent is an organized institution established under the prevailing law, the insurer may delegate the specified authority to such agent. 78.

Micro Insurance Claim: (1) An insurer conducting micro insurance business shall, if a claim relating to the insured life ??. ?????? ???????????: (?) ?????? ?????? ???? ?????? ???? ?????? ??? ?????????? ??????? ????? ?????? ??????????? ?????? ?????? ? (?) ????? (?) ???????? ????????? ??????????? ????? ?????? ?????? ?????? ???? ????? ??????????? ?????? ???? ???? ???? ?????? ????? ??????????? ??? ??????????? ???? ?? ?????? ?????? ? (?) ??????????? ??????????? ??????????? ????? ???? ?????? ??? ????????? ????? ?? ???? ? ?? ????????? ?????? ????????????? ???? ???? ??????? ???? ?? ????? ?? ??????? ???? ?????? ???? ???? ?????? ? (?) ?? ????? ??????? ??????? ???? ??????? ?? ????? ??????????? ?????? ??????????? ????????? ???? ?????? ???? ?????? ??????? ??????????? ????????? (???? ???? ???? ???????) ?? ????? ????? ?????? ? ??????? ????? ???????? ????????????? ??????? ????? ???????? ??????????? ????????? ???? ??? ????????? ????? ??? ????? ?????? ? (?) ?????? ????? ??????????? ??????? ???? ??? ???????? ????? ??????? ????? ?????????? ???? ????????? ????? ??? ????? ?????? ? (?) ?????? ??????? ??????? ????????? ???? ???? ?????? ????? ??????????? ?????? ???????, ????????? ??????, ????????, ??????? ???? ?? ???? ????????? ???? ??????? ?? ????????? ?????? ?????? ? ?????? ??????? ??? ????????? ????? ??????? ???? ????? ??????? ????? ? (?) ????? (?) ?????? ??????????? ????????? ??? ???? ?????? ??????? ????? ?????? ??? ????? ????? ?????? ????? ????? ???? ??????? ??? ????, ???????? ???? ?? ?????? ?????? ??? ?????? ????? ?????? ? (?) ?????? ???????? ???? ??????????? ???? ??????? ????? ??????? ??? ??? ????????? ?????? ?????? ????????? ??????? ??? ??????? ??????? ???? ????? ??????? ?????? ???? ????????? ????? ?????? ? (?) ??????? ??????? ??????? ???? ??????? ??

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(3) Upon receipt of information that proceedings have been initiated pursuant to subsection (2), the Authority shall, for that purpose, appoint an assessor to evaluate the liability of the insurance business conducted in Nepal by such office and the assets of such office located in Nepal.

(4) The assessor appointed pursuant to subsection (3) shall submit a report detailing the amounts under sections 38, 39, 40

and 41, the assessed amount including details of other movable and immovable property of such office, the amount of liability arising at the time of issuance of insurance policies by such office and upon maturity, the amount payable to the Government of Nepal, and other amounts and liabilities to be paid.

(5) After receiving the report pursuant to subsection (4), the Authority shall freeze, as prescribed, the amount

corresponding to the liability to be borne by such office in Nepal, in such a manner that the insurer cannot expend it.

(6) The liability to be borne by such office shall be fulfilled as prescribed from the amount referred to in subsection (5).

(7) The amount remaining after fulfilling the liability pursuant to subsection (6) may be taken back to the relevant country in accordance with prevailing law.

(8) If it appears from the report pursuant to subsection (4) that the liability towards the policyholders or other liabilities created due to conducting insurance business in Nepal cannot be fulfilled, the Authority shall direct such office to arrange the necessary amount to be able to fulfill such liability.

(9) Where a direction is given pursuant to subsection (8), it shall be the duty of the concerned office to arrange such amount.

(10) If such amount cannot be arranged by the office pursuant to subsection (9), the Authority shall request the Government of Nepal to make arrangements to obtain such amount from the regulatory body of the relevant country through diplomatic channels.

(11) If the liability cannot be paid pursuant to subsection (10), the Authority shall make arrangements for the necessary amount to be borne by the Policyholders' Protection Fund.

(12) If the liability cannot be fulfilled pursuant to subsection (11), the Authority may request the Government of Nepal to bear the liability for such amount. Chapter-16

Insurance Claims

123.

Settlement of insurance claims: (1) If an insurance claim is submitted in accordance with the terms of the policy, the insurer shall, if loss assessment is required, have such assessment done, and if loss assessment is not required, shall settle the claim within the prescribed period from the date of such submission. (2) If the policyholder or his/her legal representative is not traced within the prescribed period in accordance with prevailing law, or if the claim cannot be paid to him/her, the amount payable at the time of the claim shall be deposited into the Unclaimed Fund. (3) If the person entitled to receive payment of the insurance claim amount is not found, the insurer shall securely retain evidence of having searched for the policyholder or legal representative in any manner, having attempted to contact, or having made sufficient efforts to pay the amount. (4) The insurer shall submit to the Authority details of claims that could not be settled within the prescribed time. (5) Notwithstanding anything contained elsewhere in this Act, in the event of a catastrophe including a major disaster in any territory or area of the country, the Authority may prepare and implement a separate procedure relating to insurance claims for a specified period for the place affected by such crisis. (6) Other provisions relating to insurance claim settlement and the Unclaimed Fund shall be as prescribed. 124. Payment of reinsurance claims: (1) The ceding insurer shall pay the amount of the reinsurance claim based on the reinsurance contract entered into between the insurer conducting insurance business and the reinsurer. (2) Settlement of reinsurance claims and other provisions relating thereto shall be as prescribed. 125. Settlement of small amount claims: (1) Liability for a claim of an amount smaller than the limit set by the Authority shall be settled under small amount claims. (2) Other provisions relating to the payment of small amount claims shall be as prescribed. 126. Clear damage or loss: (1) Damage or loss of the nature prescribed by the Authority shall be settled under clear damage or loss. (2) Other provisions relating to clear damage or loss shall be as prescribed. 127.

Chapter-17

Provisions Relating to Complaints

128. Complaints relating to claim payment: (1) If the insurer does not pay the insurance claim to the policyholder within the period stipulated in the policy, does not determine the liability, or determines the liability in a manner detrimental to the policyholder, the concerned policyholder may file a complaint with the Authority.

(2) Upon receiving a complaint pursuant to subsection (1), the Authority shall conduct necessary inquiry and allow the concerned insurer fifteen days to submit a response.

(3) Upon receiving a response pursuant to subsection (2), or if the insurer fails to submit a response within the period for filing a response, the Authority may do the following:-
(a) Mediate between the complainant and the insurer,
(b) Order payment of reasonable compensation if any loss has been caused to the policyholder due to non-payment of the claim,
(c) Order the concerned insurer to re-determine the liability if the liability determined by the insurer does not appear reasonable,
(d) Order the concerned insurer to pay the claim if it appears that the claim ought to be paid,
(e) Give any other appropriate order.

(4) If a complaint is filed against an insurer for not paying a claim in accordance with the policy and it is decided that the claim must be paid, the concerned insurer shall, in addition to the insurance amount, pay the complainant interest at the rate of ten percent from the date of the complaint, and an amount equal to the actual expenses incurred in obtaining legal remedy.

(5) An insurer, policyholder, or any other person aggrieved by an order given by the Authority pursuant to subsection (3) may appeal to the concerned High Court within thirty-five days.

(6) Other provisions relating to proceedings upon a complaint under this section shall be as prescribed. 129.

Complaints relating to loss or damage: (1) If any insurer, or any director, officer, or employee of such insurer, or an insurance intermediary or other insurance service provider, does any act against the rights and interests of any policyholder and causes loss or damage to him/her, the concerned insurer shall be liable and shall pay compensation therefor. (2) If any act is done causing loss or damage pursuant to subsection (1), the policyholder may file a complaint with the Authority within the prescribed period from the date of knowledge of such act. (3) Upon receiving a complaint pursuant to subsection (2), the Authority shall conduct necessary investigation or inquiry and allow the concerned insurer, director, officer, employee, or the concerned insurance intermediary seven days to submit a response. (4) Upon receiving a response pursuant to subsection (3), or if no response is received within the period for submitting a response, the Authority may, after conducting necessary inquiry, order the party causing loss or damage to pay a reasonable amount as compensation to the complainant, or may order mediation between the complainant and the insurer. (5) A party aggrieved by an order to pay compensation pursuant to subsection (4) may appeal to the concerned High Court within thirty-five days. (6) Other provisions relating to proceedings on complaints under this section shall be as prescribed. 130. Insurance mediation: If any dispute arises among insurers licensed under this Act, or among insurance intermediaries, or between insurers, intermediaries, or other parties to insurance, and cannot be resolved by mutual agreement, the Authority may, upon the request of any one of the parties involved in the dispute or at the initiative of the Authority, mediate and resolve the dispute as prescribed. Chapter-18 Operation and Management of Insurance in Province 131. Operation and management of insurance in province: (1) Subject to this Act, a province may make laws and operate and manage insurance on the following matters:- (a) extending the reach of insurance, (b) issuing and renewing licenses for insurance agents as prescribed, (c) conducting training programs relating to insurance, (d) hearing grievances on prescribed matters. (2) While performing functions pursuant to subsection (1), the functions shall be performed subject to the standards set by the Authority. (3) Notwithstanding anything contained elsewhere in this Act, until the province makes a law and commences its work and proceedings, the work and proceedings pursuant to this section shall be carried out by the Authority. 132.

A copy of the report so prepared shall also be sent to the Authority. Chapter-19

Proceedings, Offenses and Penalties

134. Regulatory action: (1) If any insurer is found to have violated this Act or any rule, regulation, direction or order made under this Act, or is found to have submitted false statements or data to the Authority, the Authority may take the following actions against such insurer or any of its directors, officers, chief executive, or employees, or insurance intermediary or other insurance service provider:-

(a) issue a written caution or warning,

(b) obtain an undertaking for improvement or order to make any improvement within a specified period,

(c) take control of the property or accounts of the insurer,

(d) prohibit the distribution or issuance of dividends, bonus shares or rights shares to shareholders,

(e) suspend the director, officer, chief executive or employee of the insurer and the insurance intermediary, or order the insurer to suspend them,

(f) partially or completely prohibit the operation of insurance business,

(g) file a petition with the concerned High Court to liquidate the licensed insurance company.

(2) If any founder, shareholder, director, chief executive or officer, employee or any concerned person of an insurer violates this Act or any rule, regulation, direction or order made under this Act, the Authority may, depending on the nature and gravity of the violation, take any one or more of the following actions:-

(a) confiscate and freeze the shares held by such person in the concerned insurer, and sell or cause to be sold such shares to another person or entity,

(b) withhold or suspend, or cause to be withheld or suspended, some or all facilities including meeting allowances and remuneration receivable by the board of directors, directors, officers and other employees of the insurer,

(c) if, from the regulation, inspection or monitoring by the Authority, it is found that the insurer has not acted in the interest of the policyholders, shareholders and the insurer, remove the chairperson, director, chief executive or employee of the insurer by giving written notice,

(d) if any person has taken or given salary, allowance and other facilities contrary to this Act or any rule, regulation, direction or order made under this Act, recover all such service facilities or the amount incurred therefor along with interest in accordance with prevailing law from the persons providing such service facilities,

(e) order the concerned insurer to send a letter for action to the body with which the director, officer, chief executive or employee of the insurer is professionally associated.

(3) A person removed from office pursuant to clause (c) of subsection (2) shall not be entitled to any

compensation or facility on retirement, and shall not be appointed to the service of any insurer for five years from such retirement.

(4) If an insurer has to pay any amount due to the negligence or bad faith of any director, officer, chief executive or employee, the Authority may order the recovery of such amount from such director, officer, chief executive or employee, or cause it to be recovered.

(5) Within thirty-five days from the date of knowledge of the order given pursuant to subsection (4), such director, officer, chief executive or employee shall personally pay such amount.

(6) If the amount under subsection (5) is not paid or delivered within the period specified by the Authority, it shall be recovered from the account in any bank or financial institution in the name of such director, officer, chief executive or employee or his/her immediate family, or from any movable or immovable property of such person or his/her immediate family, in the same manner as government dues.

(7) If the Authority conducts regulation, inspection, monitoring or any other action against any insurer or intermediary under this Act and publishes or broadcasts the notice thereof publicly, the insurer shall bear the expenses incurred in publishing or broadcasting such notice.

135. May direct to withhold or cancel insurance payment: Notwithstanding anything contained elsewhere in this Act, in the following circumstances, the Authority may direct any person not to issue an insurance policy or to withhold the amount payable under the policy or to cancel the policy:-
(a) to prevent any act contrary to the insurance business or the interests of the policyholder,
(b) to assist in the investigation of any offense,
(c) to assist in the control of money laundering, financing of terrorist activities, fraud, corruption, human trafficking or other organized crime. 136. May suspend license or prohibit carrying on business: (1) If any insurer does any of the following acts, the Authority may suspend the license of such insurer for a prescribed period or partially or completely prohibit such insurer from carrying on insurance business:-
(a) if minimum paid-up capital is not maintained as per the provision of section 36,
(b) if a decision relating to claim payment or loss or damage made pursuant to section 128 or 129 is not implemented within the prescribed period,
(c) if allowing the insurer to carry on insurance business would be seriously detrimental to the policyholders,
(d) if the insurance business is closed without the approval of the Authority,
(e) if any other act prohibited by this Act or any rule, regulation made under this Act or prevailing law is done,
(f) if directions or orders given by the Authority are repeatedly violated.

(2) Before suspending the license of an insurer or completely or partially prohibiting the insurance business pursuant to subsection (1), the Authority shall give the concerned insurer a reasonable opportunity to submit an explanation.

(3) If the explanation submitted by the insurer pursuant to subsection (2) appears satisfactory, the Authority may revoke such suspension or prohibition.

(4) If an insurer is completely or partially prohibited from carrying on insurance business pursuant to subsection (1), notice thereof shall be published for the information of the general public through at least two national daily newspapers and the website of the Authority. 137.

May cancel license of insurer: (1) The Authority may cancel the license of an insurer in the following circumstances:- (a) if the prohibition from carrying on insurance business or suspension of license under section 136 is not revoked even after one year, (b) if allowing the insurer to carry on insurance business would be seriously detrimental to the policyholders, (c) if a court has initiated insolvency proceedings against the insurer in accordance with prevailing law, (d) if an application for cancellation is made by the insurer and the cancellation process is completed. (2) Except in the circumstances of clause (c) or (d) of subsection (1), before canceling the license of an insurer, the Authority shall give the concerned insurer a reasonable opportunity to submit an explanation by providing a reasonable time as prescribed. (3) Notwithstanding anything contained elsewhere in this section, if a circumstance mentioned in clause (a) or (b) of subsection (1) arises and the concerned insurer undertakes to rectify such circumstance and not to repeat the deficiency or shortcoming, the Authority may grant such insurer a reasonable time, once, to rectify its condition or correct the deficiency or shortcoming. (4) If the license of an insurer is cancelled under this section, the liability assumed by the insurer prior to such cancellation shall be settled as prescribed. (5) If a license is cancelled under this section, the Authority shall make public the name of the concerned insurance company for the information of the general public through at least two national daily newspapers and the website of the Authority. 138.

May impose fine: (1) If an insurer, insurance intermediary or other insurance service provider fails to prepare a statement, report or document required to be prepared, fails to give information required to be given, fails to submit documents or statements within the prescribed time, or fails to make available documents, statements, data or records requested by the Authority or any official deputed by the Authority for that purpose during regulation, inspection or monitoring within the prescribed period, the Authority may, in addition to other penalties mentioned in this Act, impose a fine as follows:- (a) in the case of an insurer, twenty-five thousand rupees per day for up to one week overdue, and in the case of an insurance intermediary or other insurance service provider, two thousand rupees per day, (b) in the case of an insurer, fifty thousand rupees per day for up to two weeks overdue, and in the case of an insurance intermediary or other insurance service provider, five thousand rupees per day, (c) after the period in clause (b) expires, one hundred thousand rupees per day for an insurer at any time, and ten thousand rupees per day for an insurance intermediary or other insurance service provider. (2) If an insurer fails to have a loss assessment done within the prescribed time, the Authority may impose a fine on the insurer as follows:- (a) five thousand rupees per day for up to one week overdue, (b) ten thousand rupees per day for up to two weeks overdue, (c) after the period in clause (b) expires, twenty-five thousand rupees per day at any time. (3) If an insurer fails to determine liability for a claim within the prescribed period, or determines liability in a detrimental manner, or fails to settle the liability within the prescribed time, the Authority may, depending on the nature and gravity of the matter, impose a fine ranging from two hundred thousand rupees to two million rupees. (4) If an insurer does any act contrary to this Act or any rule, regulation, direction or order made under this Act, or fails to comply with a direction or order issued by the Authority, or carries on insurance business without complying with the procedure under this Act, or prepares false statements, the Authority may impose a fine as follows:- (a) for the first time, two hundred thousand rupees, (b) for the second time, two million five hundred thousand rupees, (c) for the third time or more, five million rupees per time. (5) If an insurer fails to submit a compliance report, the Authority may impose a fine ranging from one hundred thousand rupees to three hundred thousand rupees. (6) If an insurance intermediary does any act contrary to this Act or any rule, regulation or directive made under this Act, or carries out insurance-related work without complying with the procedure under this Act, or prepares false statements, the Authority may impose a fine as follows:- (a) for the first time, five thousand rupees, (b) for the second time, twenty-five thousand rupees, (c) for the third time or more, fifty thousand rupees per time. (7) If an insurer fails to have an audit conducted within the period required under section 87, the Authority may impose a fine on such insurer as follows:- (a) for up to the first week, fifty thousand rupees, (b) for more than one week up to one month, one hundred thousand rupees, (c) for more than one month up to three months, five hundred thousand rupees, (d) for more than three months, for any period, one million rupees. (8) If an insurer, director, officer, employee or insurance intermediary or other insurance service provider is asked to submit a response pursuant to subsection (2) of section 128 or subsection (3) of section 129 and fails to submit the response within the deadline, the Authority may impose a fine as follows:- (a) one hundred thousand rupees for the insurer, (b) five thousand rupees for the director, officer, employee, insurance intermediary or other insurance service provider of the insurer. (9) If a surveyor submits a report on loss assessment later than the prescribed time, the Authority may impose a fine on such surveyor for such delay as follows:- (a) two thousand rupees for up to one week from the expiry of the period, (b) five thousand rupees for up to two weeks from the expiry of the period, (c) ten thousand rupees for up to one month from the expiry of the period, (d) twenty-five thousand rupees for any period after one month from the expiry of the period. (10) If, during an investigation or inquiry upon a complaint or during regulation, inspection or monitoring by the Authority, it is found that any insurance surveyor has submitted a report making an incorrect assessment of loss, the Authority may, for the first time, warn or impose a fine of fifty thousand rupees or both, and if the same act is repeated, cancel his/her license, impose a fine of one hundred thousand rupees, and recover from him/her an amount equal to the loss caused to the policyholder and pay it to the policyholder. (11) Notwithstanding anything contained in prevailing law, if it is found that a person who has committed an act liable to a fine under this section has kept or hidden the property earned thereby in his/her own name, the name of his/her immediate family, relatives or any other person, a letter shall be sent to the concerned body for confiscation of such property and the proceeds thereof, and it shall be the duty of that body to act accordingly. (12) A party aggrieved by a penalty imposed by the Authority under this section may appeal to the concerned High Court within thirty-five days of receiving the penalty.

140. Offenses: (1) The following acts or activities shall be deemed to be offenses under this Act:-

(a) carrying on insurance business without a license under section 24,

(b) working as an insurance intermediary or other insurance service provider without a license under section 90,

(c) making payment of an insurance claim by an insurer by committing or not committing any insurance-related fraud or forgery, with or without collusion with an insurance intermediary or other insurance service provider or other party, by preparing or not preparing false statements or documents,

(d) receiving payment of an insurance claim by a policyholder by committing or not committing any insurance-related fraud or forgery, with or without collusion with an insurance intermediary or other insurance service provider or other party, by submitting or not submitting false statements or documents,

(e) causing loss or damage to an insurer or policyholder by an insurance surveyor by making an overvaluation, undervaluation or incorrect assessment of loss in a self-interested or malicious manner,

(f) misappropriation of premium payable by the policyholder to the insurer under the insurance policy by an insurance agent who dishonestly fails to pay such premium to the insurer,

(g) committing any irregularity or financial misuse by an employee, officer or any other person of the insurer while issuing an insurance policy, assessing loss of insured property or liability, paying an insurance claim, or operating the insurance business,

(h) committing any irregularity by any director, officer, chief executive, employee or other person during the merger or amalgamation, acquisition, cancellation or audit of an insurer,

(i) attempting to commit an offense under clauses (a) to (h) or aiding in any manner in the commission of such offense.

(2) If any officer or employee of a foreign insurer transfers any property of such branch office to another

country without obtaining approval from the Authority or by obtaining approval through submission of false statements, except in the course of regular business of the branch office, or authorizes such transfer, or does any act that aids or abets such act, it shall be deemed to be an offense under this Act. 141.

Punishment: (1) A person who commits an offense under clause (a) of subsection (1) of section 140 shall be liable to confiscation of the proceeds, a fine equal to three times the proceeds, and imprisonment for a term of five to ten years for the person conducting such business. (2) A person who commits an offense under clauses (b), (c) and (d) of subsection (1) of section 140 shall be liable to confiscation of the proceeds, a fine equal to the proceeds, or imprisonment for up to three years. (3) A person who commits an offense under clauses (e), (f), (g) and (h) of subsection (1) of section 140 shall be liable to confiscation of the proceeds and punishment as follows:- (a) if the proceeds are up to one million rupees, imprisonment for up to one year, (b) if the proceeds are more than one million rupees up to five million rupees, imprisonment for up to two years, (c) if the proceeds are more than five million rupees up to ten million rupees, imprisonment for up to three years, (d) if the proceeds are more than ten million rupees, imprisonment for three to five years. (4) A person committing an offense under clause (i) of subsection (1) of section 140 shall be liable to half the punishment prescribed for the principal offender. (5) A person committing an offense under subsection (2) of section 140 shall be liable to a fine according to the proceeds and imprisonment for up to five years. (6) For the purpose of this section, in determining the proceeds, the entire amount involved in the transaction shall be taken into account. (7) In case the proceeds cannot be determined under this section, depending on the gravity of the offense, there shall be a fine of up to one million rupees and imprisonment for up to two years. (8) If an act liable to punishment under this section is committed by an organized institution, the concerned director, chief executive, officer or employee who committed such criminal act shall be punished. 142. Not to be allowed to perform work relating to insurance business: If the license of any director, officer or employee of an insurer, or any insurance agent or insurance intermediary is suspended, or if a case relating to an offense under section 140 is filed against him/her in court, such director, officer, chief executive, advisor or employee or insurance intermediary shall not be allowed to perform any work relating to insurance business until the suspension is revoked or until the final disposal of such case. 143.

Special provisions relating to policyholder: (1) If any policyholder, with or without collusion with an insurer, insurance intermediary or other insurance service provider, commits any insurance-related fraud, forgery, submits or does not submit false statements, fails to submit required statements, submits statements not required to be submitted, conceals any basic fact about himself/herself or the insured property, is suspected of making an insurance claim, or is suspected of influencing the insurer, insurance intermediary or other insurance service provider, the Authority may investigate or inquire into such policyholder. (2) It shall be the duty of such policyholder to assist the Authority when it conducts an investigation or inquiry under subsection (1). (3) If the policyholder is found guilty from the investigation or inquiry conducted under subsection (1), a letter shall be sent to the authority empowered by prevailing law. (4) A policyholder or any other person who fails to assist in an investigation or inquiry under this section, commits insurance fraud or insurance cheating, may be blacklisted by the Authority upon receipt of a letter from the authority empowered by prevailing law, and the insurance of any business in which such person is involved may be prohibited for up to five years. (5) Other provisions relating to the investigation or inquiry of a policyholder shall be as prescribed. 144. Punishment for obstructing: If any person obstructs work or proceedings relating to an investigation or inquiry under this Act, the officer hearing the case may, on the basis of the report of the investigating or inquiring officer, punish such person with imprisonment for up to six months or a fine of up to one hundred thousand rupees or both. 145. Limitation for filing complaint: If information about an act deemed to be an offense under this Act comes to the knowledge of the Authority through any means, or is proven through inspection by the

Authority or investigation or inquiry by an officer or body empowered by prevailing law, a complaint may be filed within six months from that date, and the case must be filed in court within three months from the date of such complaint. 146. Government of Nepal to be plaintiff: (1) A case relating to an offense under section 140 shall be conducted with the Government of Nepal as plaintiff, and such case shall be deemed to be included in Schedule-1 of the National Criminal Procedure Code, 2074. (2) The Authority shall provide necessary assistance to the concerned officer in the work of investigation, inquiry and filing of cases regarding the offense under subsection (1). 147.

Officer to hear case and execution of decision: (1) The authority to conduct proceedings and dispose of cases relating to offenses under section 140 shall vest in the court designated by the Government of Nepal by publishing a notice in the Nepal Gazette. (2) Except as provided in subsection (1), the Authority itself may conduct investigation or inquiry and take action and impose penalties in relation to other prohibited acts under this Act. (3) For the purpose referred to in subsection (2), the Authority shall, in addition to the powers conferred by the rules made under this Act, have powers akin to those of a District Court. (4) The hearing of petitions or appeals filed in the High Court under this Act shall be conducted by the Commercial Bench of the concerned High Court. 148. Calling for information: (1) If, during an investigation or inquiry in relation to regulation or proceedings under this Act, the Authority or the investigating or inquiring body thinks it necessary to obtain any deed, account details, documents or other information for the investigation or inquiry, and if such deed, account details or other information is with any person or entity or such person or entity can submit such information or documents, the Authority or the investigating or inquiring body may request such person or entity to submit such information or documents. (2) It shall be the duty of all concerned persons or entities to make available the deed, account details or other information requested by the investigating or inquiring body under subsection (1) or to provide assistance. 149. Penalty not barred: If a person is found to have committed any offense under section 138 while holding any position in an insurer, such person's retirement from that position or not holding that position shall not bar investigation, inquiry and punishment under this Act. Chapter-20 Miscellaneous 150. Policyholders' Protection Fund: (1) There shall be a Policyholders' Protection Fund under the Authority. (2) The Fund under subsection (1) shall consist of the following amounts:- (a) amounts set aside by the Authority for that purpose, (b) amounts obtained from insurers carrying on life insurance business as prescribed by the Authority, (c) amounts deposited into the Unclaimed Fund under amended by Some Nepal Laws Amendment Act, 2062 section 123, which could not be paid when the condition for payment under a life insurance policy arose. (3) The Policyholders' Protection Fund and other provisions relating thereto shall be as prescribed. 151.

Insurance Development Fund: (1) There shall be an Insurance Development Fund under the Authority for the purpose of extending the reach of insurance to economically disadvantaged citizens and protecting the interests of citizens through insurance. (2) The Fund under subsection (1) shall consist of the following amounts:- (a) amounts received from the Government of Nepal, (b) amounts equal to fifty percent of the microinsurance regulatory fees received by the Authority from insurers under section 79, and amounts equal to at least thirty-three percent of the regulatory fees received by the Authority from insurers under section 100, and (c) amounts received from other sources. (3) The Authority shall deposit the amounts under clause (b) of subsection (2) into the Fund under subsection (1) each year. (4) The use of the amount in the Fund under subsection (1) shall be in the prescribed sectors as prescribed. (5) Other provisions relating to the operation and management of the Fund under subsection (1) shall be as prescribed. 152. Grievance hearing: (1) If any person has any grievance relating to any work or activity done by an insurer, policyholder, insurance intermediary, or director, officer, employee of an insurer, or insurance intermediary or any other stakeholder under this Act, a complaint may be filed with the Authority. (2) Other provisions relating to grievance hearing and the officer hearing grievances shall be as prescribed. 153. Not to transact insurance business with any person other than an insurer: (1) No person or entity shall transact insurance business with any person other than an insurer licensed under this Act. (2) Insurance of property located in Nepal and liabilities arising within Nepal shall be done only with an insurer licensed under this Act. 154. May form expert group: (1) The Authority may, as prescribed, form an expert group to study, investigate or inquire into claims related to fraud, forgery or cheating arising or occurring or encountered in the insurance business and to provide necessary opinions and recommendations for action, reform or policy making relating thereto. (2) Other provisions relating to the expert group shall be as prescribed. 155. Insurance Information Center: (1) The Authority may establish an Insurance Information Center to collect, integrate and systematize information of the insurance sector. (2) The Authority shall regulate the Insurance Information Center established under subsection (1). (3) Other provisions relating to the Insurance Information Center shall be as prescribed. 156. May establish Insurance Institute: (1) The Authority may establish an Insurance Institute for producing skilled manpower in the